

BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

APPLICATION OF PUBLIC SERVICE)
 COMPANY OF OKLAHOMA (PSO) FOR)
 AN ORDER OF THE COMMISSION)
 PREAPPROVING THE ACQUISITION AND) CASE NO. PUD 2025-000064
 COST RECOVERY OF GENERATION)
 FACILITIES TO ALLOW PSO TO MEET)
 ITS OBLIGATIONS PURSUANT TO OAC)
 165:35-25-3(e).)

I. APPLICANT: Public Service Company of Oklahoma
 212 E. 6th Street, Tulsa, Oklahoma, 74119

II. ALLEGATIONS OF FACT:

(a) Public Service Company of Oklahoma (PSO or Company) is a corporation organized under the laws of the State of Oklahoma and is a public utility subject to the regulatory authority of the Oklahoma Corporation Commission (Commission). PSO owns and operates properties and facilities that are used for supplying electric power in the State of Oklahoma.

(b) As a regulated utility, PSO is subject to the rules and regulations of this Commission. Specifically, PSO is subject to this Commission's Electric Utility Rules found at OAC 165:35-1-1 *et. seq.* This Commission's standard for electric utility generation capacity requirements is found at OAC:165:35-25-3(e):

Reliability of Supply. The generation capacity of a utility's plant, supplemented by the electric power regularly available from other sources or firm contracts for electric power by a utility which operates no generation plants, must be sufficiently large to meet all normal demands for service and provide a reasonable reserve for emergencies.

(c) PSO has taken steps to maintain sufficient generation to provide for the normal demands for service while also providing reasonable reserve margins, as required by this Commission and the Southwest Power Pool (SPP). On November 20, 2023, PSO issued an All-Source Request for Proposals (RFP) for 1,500 MW of SPP accredited generation capacity, inclusive of energy. The RFP was issued and conducted pursuant to the Commission's competitive procurement rules (OAC 165:35-34-1 *et. seq.*). Bids were due to PSO on January 29, 2024. The Commission approved the retention and compensation of an Independent Evaluator (IE) to monitor the RFP and the competitive bidding process as provided by OAC 165:35-34-3(b). PSO received a robust response of over 300 bids that included wind, solar, battery energy storage systems and thermal facilities.

(d) While continuing to negotiate contracts for projects selected on the initial shortlist, PSO began to project additional load growth due to economic development activity. In November 2024, PSO contacted the IE to solicit input on conducting a bid refresh of the 22 highest ranking

bids to expand its shortlist. PSO proceeded to conduct the bid refresh in December 2024. Refreshed bids were received on December 20, 2024.

(e) This Commission approved the purchase of the Green Country Generation Facility (Green Country) on June 4, 2025 (Order No. 749854 issued in Case PUD 2024-000057) after comparing Green Country to the short-listed bids that were considered “reasonable alternatives” and that are now the subject of this Application.

(f) Due to load growth in the service territory of PSO, the additional capacity and energy from Green Country did not negate the need for PSO to procure additional capacity “to meet all normal demands for service and provide a reasonable reserve for emergencies” as required by the Commission’s rule quoted above. Without acquiring additional SPP accredited capacity resources, PSO’s summer capacity position will be deficient 10 MW in 2027, 470 MW in 2028, and 1,766 MW in 2029.

(g) Following the receipt of refreshed bids, PSO entered into seven agreements which represent 849 MW of nameplate energy and capacity. The seven agreements are comprised of three Purchase and Sale Agreements (PSAs), three Purchase Power Agreements (PPAs), and one Capacity Purchase Agreement (CPA). The Company is also seeking preapproval of one self-build natural gas resource project which will provide 450 MW (NE 5&6 Project), bringing the total for all projects to 1,299 MW. The eight generation resources consist of three wind resources, three battery energy storage system resources, and two natural gas resources. All the resources are located within the state of Oklahoma.

(h) The NE 5&6 Project was evaluated as if the units had participated in the All-Source RFP to compare the NE 5&6 Project to reasonable alternatives, and the NE 5&6 Project scored very well. This same process was used by PSO, and approved by this Commission, for the recently approved Green Country facility.

(i) Table 1 summarizes the RFP selected projects and the NE 5&6 Project:

TABLE 1

Bidder	Location	Project Name	Technology Type	Offered Capacity – Nameplate (MW)	2029 Accredited Summer Capacity (MW)	PSA/PPA	PSA Capital - "All In" (\$M)
Tenaska	Oklahoma	Kiamichi	Combined Cycle	150	150	CPA	
Allete	Oklahoma	Caddo	Wind	80	10.2	PPA	
NextEra	Oklahoma	Weatherford	Wind	147	18.8	PPA	
Engie	Oklahoma	King Plains	Wind	248	31.7	PPA	
Jupiter	Oklahoma	Northeastern 1&2	Storage Standalone	100	100	PSA	\$312
Jupiter	Oklahoma	Rock Falls	Storage Standalone	50	50	PSA	\$165
Jupiter	Oklahoma	Dover	Storage Standalone	74	74	PSA	\$238
Self-Build	Oklahoma	Northeastern 5&6	NG CT	450	436.5	PSA	\$540
Total:				1,299	871.2		\$1,255

(j) The Company is requesting a determination by this Commission that there is a need for the projects and that reasonable alternatives have been considered; that the Energy Security Rider be approved as proposed by the Company to include a return on construction work in progress, operation and maintenance expenses, depreciation, amortization, ad valorem taxes, production tax credits, investment tax credits, and a return on the assets until they are incorporated into base rates through a general rate case; that the total requested costs of the generating assets, including operation and maintenance expenses, depreciation, and ad valorem taxes be placed in the cost of service in PSO's base rate case conducted after each asset has become commercial.

(k) To support this Application, PSO has submitted Direct Testimony of the following witnesses:

Witness	Testimony Summary
Matthew Horeled	Need for Additional Resources, PSO Policy, and Recovery Mechanism Request
Scott Bolan	RFP Overview, Evaluation, and Selection
Paul Demmy	Discussion of the Company's Capacity Needs and Economic Analysis
Beth Lozier	Due Diligence, Support Cost of Projects, and O&M
Hassan Hayat	Deliverability Assessment and Congestion Modeling
Dr. Shelly Hagerman	Operation of Battery Energy Storage Systems and Dispatch Plans
Michael Dilley	Overview of NE 5 & 6 Project, Construction, and O&M
Rebecca Schwarz	Customer Impacts, Recovery Mechanisms, and Accounting Treatment
Gary Spitznogle	Environmental rules and permits applicable to the NE 5&6 Project
Bryan Trapp	ITCs and other tax related matters

III. LEGAL AUTHORITY:

17. O.S. § 152; 153; 286(C); OAC 165 :35-38-5

IV. RELIEF SOUGHT:

WHEREFORE, Applicant respectfully requests that this Commission issue an Order within two hundred and forty (240) days of the filing of this Application; the Order make a determination that there is a need for the projects and that reasonable alternatives have been

considered; a determination by this Commission to approve the requested Energy Security Rider as proposed by the Company to include a return on construction work in progress, operation and maintenance expenses, depreciation, amortization, ad valorem taxes, production tax credits, investment tax credits, and a return on the assets until they are incorporated into base rates through a general rate case; a determination that the total requested costs of the generating assets, including operation and maintenance expenses, depreciation, and ad valorem taxes be placed in the cost of service in PSO's base rate case conducted after each asset has become commercial, and for such other relief that the Commission determines PSO is entitled.

Respectfully submitted:

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ATTORNEYS FOR PUBLIC SERVICE
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CERTIFICATE OF ELECTRONIC SERVICE

This is to certify that a true and correct copy of the above and foregoing was e-mailed to the following:

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